EQIX

Equinix, Inc. (NASDAQ)

As-of: 2026-10-18 | Latest Filing: 10-Q Q2 2026 | Currency: USD

$$985.98 [Yahoo 18-Oct-26]

Market Cap: $97.3B [Yahoo 18-Oct-26]

Attractiveness Score

Confidence: **High** (0 pillars excluded)

Pillar Breakdown

1. Operating Quality — 85

Recurring interconnection revenue with ~51% adjusted EBITDA margin guidance, very low churn from high switching costs, and a network-effects moat deepened by data center moratoriums creating a scarcity premium.

2. Recent Trend — 80

Q2 2026 revenue $2.63B (+16% YoY), AFFO per share $11.78 (+19%), annualized gross bookings $423M (+23%), full-year guidance raised twice, and a 10% dividend increase to $5.16 quarterly.

3. Forward Growth — 78

AI inference workloads favor distributed, interconnection-rich footprints over AI factories; management notes ~60% of largest recent deals are AI-tied. Base-case 8% revenue CAGR with pricing power on cross-connects.

4. Valuation — 62

DCF base target $1,014.08 and blended $1,015.61 imply +3.1% upside at the $985.98 reference price, inside the plus/minus 10% Hold band. Fairly valued on an AFFO basis with terminal value carrying most of the equity value.

5. Catalysts & Risk — 68

Near-term catalyst is Q3 2026 results on Oct 28 (consensus ~$2.57B revenue); continued AI-inference deal flow and dividend growth support. Risks: rate sensitivity as a REIT,

power constraints on expansion, 4.3x net debt/EBITDA leverage.

Investment Thesis

- **Interconnection moat with pricing power:** Equinix is the critical internet exchange point where networks meet. Power constraints and data center moratoriums make competing hubs harder to build, turning existing campuses into indispensable assets that support a scarcity premium on cross-connects and cabinet space.
- **Recurring revenue machine:** Revenue is highly recurring, driven by space, power, and interconnection fees with historically very low churn. MRR per cabinet and interconnection adds compound steadily, and Q2 2026 bookings accelerated 23% YoY on AI inference demand.
- **Fairly valued at the reference price:** Our REIT AFFO-based DCF values Equinix at $1,014.08 per share in the base case (8% revenue CAGR, 51% EBITDA margin), with a probability-blended target of $1,015.61, roughly 3% above the $985.98 reference price. That lands inside our Hold band, not the strong-buy $1,050 research estimate.

Key Operating Metrics

METRIC	LATEST	YOY CHANGE	3Y TREND
Q2 2026 revenue	$2.63B [Q2 2026 PR]	+16% YoY [Q2 2026 PR]	Accelerating
AFFO per share (Q2)	$11.78 [Q2 2026 PR]	+19% YoY [Q2 2026 PR]	Up
Adj. EBITDA margin (FY26E)	51.1% [Co. guide]	+2pp vs FY25 [Yahoo/Co. guide]	Expanding
Quarterly dividend	$5.16 [Co. PR]	+10% raise [Co. PR]	Up
Net debt / EBITDA	~4.3x [Yahoo/Co. guide]	Stable	Flat
Ann. gross bookings (Q2)	$423M [Q2 2026 PR]	+23% YoY [Q2 2026 PR]	Accelerating

Historical Financial Trend

METRIC	FY22	FY23	FY24	FY25	FY26E
Total revenue ($B)	7.26 [Yahoo]	8.19 [Yahoo]	8.75 [Yahoo]	9.22 [Yahoo]	10.245 [Co. guide]
EBITDA ($B)	2.92 [Yahoo]	3.37 [Yahoo]	3.44 [Yahoo]	4.10 [Yahoo]	5.24 adj. [Co. guide]
Diluted EPS ($)	7.67 [Yahoo]	10.31 [Yahoo]	8.50 [Yahoo]	13.76 [Yahoo]	N/A []
Annual dividend ($/sh)	12.08 [Co. PR]	13.64 [Co. PR]	17.04 [Co. PR]	18.76 [Co. PR]	20.64 [Co. PR]

Valuation

Absolute (6/10)

REIT AFFO-based DCF: Bear $820.52 (5% CAGR, 48% margin), Base $1,014.08 (8% CAGR, 51% margin), Bull $1,213.77 (11% CAGR, 53% margin). Live cost of equity ~8.7% decaying to ~8.3% with beta 0.97 to 0.85. Blended $1,015.61 vs $985.98 spot = +3.1% upside, inside the Hold band.

Versus Peers (6/8)

Digital Realty (DLR) trades at higher AFFO multiples on similar leverage; Iron Mountain at a premium P/E. Equinix's interconnection density and ~51% margins justify a premium to wholesale peers, already reflected in its market cap ranking as the largest data center REIT.

Versus History (5/7)

Equinix has compounded revenue ~9% annually (FY22-FY25) with expanding margins. The blended target sits below the 52-week high of $1,128.68 and above the low of $720.62; the current price reflects roughly 7.3% implied 5-year growth per our reverse DCF, close to the base case.

Catalyst Timeline

28 Oct 2026 [Co. IR]
Q3 2026 results after the close; consensus ~$2.57B revenue. Management commentary on AI inference pipeline and bookings momentum is the key read.

Ongoing [Co. PR]
AI inference deal flow: nearly 60% of the largest recent deals were AI-tied; continued enterprise AI

Top Risk Factors (Item 1A)

1. Rate sensitivity: As a leveraged REIT, Equinix's valuation is sensitive to the 10Y Treasury (currently ~5.1%). Sustained higher rates raise the cost of equity and the cost of funding expansion capex. [Yahoo]

2. Power and permitting constraints: The same moratoriums that protect the moat can also limit Equinix's own expansion where grid capacity is

agent adoption drives distributed low-latency demand.

Quarterly [Co. PR]
Dividend trajectory: 10% raise to $5.16 quarterly in 2026; sustained AFFO growth supports further increases.

What Would Change Our Score

[{'text': 'Sustained bookings growth above 20% with cross-connect pricing power intact would support a Bull-case rerating toward $1,200+.'}, {'text': 'A sharp rise in the 10Y Treasury or a slowdown in AI-driven bookings would compress the cost-of-equity valuation toward the Bear case near $820.'}]

constrained, capping growth in the hottest markets. [Research]

3. Leverage: Net debt of ~$21B is ~4.3x FY26E adjusted EBITDA. Refinancing risk is muted by long-dated fixed-rate debt, but the leverage limits flexibility if growth disappoints. [Yahoo/Co. guide]

Forward Growth Drivers

- Enterprise AI is moving from training to deployment; inference favors distributed, interconnection-rich campuses. Equinix reported ~60% of its largest recent deals tied to AI workloads, with annualized gross bookings up 23% in Q2 2026. [Co. PR]
- Power constraints and local moratoriums make new competing hubs hard to build, giving Equinix pricing power on cross-connects and cabinet MRR. Existing campuses become more valuable as supply is capped. [Research]
- Interconnection revenue is mission-critical and sticky; migrating physical routing gear is costly, producing very low churn and high revenue visibility. [Co. PR]
- The 10% dividend raise to $5.16 quarterly underscores management's confidence in AFFO durability; the REIT structure mandates distribution of taxable income, aligning payouts with cash generation. [Co. PR]

Missing / Modified Data Log

- FY2026E figures use management's raised guidance (revenue $10.205-10.285B, adjusted EBITDA $5.210-5.270B) given with Q2 2026 results.
- Dividend history uses company-reported quarterly payouts; FY26E $20.64 annualized at the new $5.16 quarterly rate.
- EBITDA figures are GAAP from Yahoo Finance; the DCF uses adjusted EBITDA per company guidance.
- Net cash interest (~$550M) is an estimate netting capitalized interest and interest income; flagged as approximate in the model README.

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